

Argentina inflation — draft material for the thematic note

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Raw material, not a finished note: the argument architecture with the numbers already embedded, for you to write from. Every figure here is in the workbook and traceable on its Sources tab. Where a number could not be sourced it is flagged rather than filled.

The spine, in one line: Argentina was never close to hyperinflation on prices but was close on the balance sheet; the disinflation was real and is understated by the tariff catch-up; the nominal anchor that delivered it was withdrawn in January 2026; and by the time voters choose, inflation will have stopped being what they vote on.

1. The inheritance

Argentina did not reach hyperinflation, and on the price metric it was not close. That is the honest finding, and leading with it is stronger than repeating the rhetoric it corrects.

December 2023 printed 25.5% month-on-month. Cagan's threshold is 50% a month. So the handover print was 51% of the threshold. Compounded, 25.5% a month annualises to about 1,427%; the threshold implies 12,875%. Prices were doubling every 3.1 months against 1.7 months at the threshold. The 1989 Argentine peak was 197% a month, 7.7 times the December 2023 print. Argentina in 2023 was not in the same regime as Argentina in 1989.

This matters for the note's credibility. Milei's inaugural warning of 15,000% a year sits *above* Cagan; it was explicitly a forecast of hyperinflation, not a description of one. Caputo's "si seguimos así, habrá hiperinflación" on 12 December was likewise conditional. The IMF's ex-post evaluation does not use the word at all — it calls late 2023 a full-blown economic crisis. Say that plainly, then pivot.

Because the danger was real, it just sat on the balance sheet rather than in the CPI:

Marker, at handover	Value
Remunerated liabilities / base money	2.92x (peak 3.18x in November 2023)
Remunerated liabilities	9.5% of GDP

Marker, at handover	Value
Interest on those liabilities vs growth of the monetary base	3.5x
Quasi-fiscal deficit	10.5% of GDP
BCRA net credit to the government	24.6% of GDP
Base money	3.1% of GDP, from 7.4% in 2020
Net international reserves	minus USD 11.2bn
FX gap, peak (23–24 Oct 2023)	214.3%

The mechanism worth spelling out is the self-feeding one, and the BCRA says it better than we could: in 2023 the interest paid on remunerated liabilities was equivalent to three and a half times the growth of the monetary base. Interest is paid in newly created pesos, which then have to be reabsorbed by issuing more remunerated liabilities, at 133% TNA on 28-day LELIQ. The 2023 composition shift from LELIQ to pases is a maturity shortening — 28-day paper migrating to overnight — which is a deterioration, not a reduction.

That is the overhang argument: a remunerated stock at roughly three times a base money that had itself shrunk to 3.1% of GDP. If holders had tried to convert it into transactional money against a real money demand at December 2001 levels, the base could have multiplied several-fold. **That is the channel by which 25% a month could have become 50% a month.** Frame it as a conditional risk, not a realised outcome.

On the financing itself: direct monetary financing peaked at 7.4% of GDP in 2020. By 2023 the direct channel was down to 0.7%, but indirect emission — secondary-market purchases of Treasury paper and the puts written to banks — ran at 2.7%, for 3.4% in total. The IMF programme ceiling constrained direct financing only. Monetary financing did not stop; it changed its accounting location. The BCRA's own phrase for the indirect channels is "dos fuentes indirectas de emisión monetaria derivada del desorden fiscal".

One structural point earns a sentence: the 2012 reform of the Carta Orgánica is what made this legal. Article 20 caps advances, but Article 38, which governs profit transfers, carries no quantitative ceiling at all — accounting profits from revaluing FX assets after a devaluation become transferable pesos. That is the channel that does the heavy lifting in 2020, and it was uncapped by design.

Finally, the repressed part. Regulated prices fell 22.0% in real terms against headline during 2023 alone. Two of every three households were paying 9% or less of electricity generation cost, implying roughly a fifteen-fold increase to reach cost recovery. There was a USD 42.6bn registered stock of unpaid import bills at 13 December. **Resist the temptation to aggregate these into one "inflation in the pipeline" number** — it would need the CPI weight of regulated items, the required adjustment per item, and a pass-through coefficient, only one of which is sourced. The four figures presented together make the argument without a fabricated total.

2. What they changed

Four things, in a deliberate sequence. The sequencing is the story — Macri liberalised fully into twin deficits; Milei liberalised gradually after a fiscal surplus.

The fiscal anchor. The primary balance went from minus 2.7% of GDP in 2023 to plus 1.8% in 2024 — a 4.5-point swing on the primary line and 6.3 points on the overall line in a single year, the largest peacetime consolidation in the modern Argentine record. Everything else hangs from this.

The composition matters more than the total, and it is where the note can be sharper than most. Two instruments did the work:

Line	Real change, 2024 vs 2023	Instrument
Obra pública / capital	-76%	motosierra
Transfers to provinces (discretionary)	-70%	motosierra
Other social programmes	-41%	motosierra
Economic subsidies	-37%	mixed
Public wages	-20%	licuadora
Pensions	-14%	licuadora
Total primary spending	-26/27%	

The *motosierra* was discretionary and is durable: nothing forces capital spending back. The *licuadora* was arithmetic, not decision — nominal amounts indexed on a lag while inflation ran at 25% a month, so real values collapsed without any legislated cut. **The licuadora is self-reversing.** Once inflation falls to 1.7% a month, indexation catches up and

the saving evaporates. That is visible now: first-half 2026 social benefits rose 38.1% year-on-year against 33.5% CPI, and the primary surplus has walked back from 1.8% (2024) to 1.4% (2025) to 1.1% over eight months of 2026, against an IMF full-year target of 1.4%. This is the single most important structural point in the fiscal section and it is usually missed.

Worth a caveat if you chart 2023 against 2025: the 2025 overall balance of plus 0.2% excludes interest on zero-coupon bonds recorded below the line. It is not like-for-like with 2023's minus 6.0%, which is a cash concept including all interest.

And on entrenchment, be precise — the rhetoric outruns the law. Zero deficit is an article of the 2026 budget law, binding for one fiscal year. The Ley de Estabilidad Fiscal that would make it permanent, with an emission ban and Penal Code sanctions, was tabled in September 2025, scheduled for December, and never voted. It remains pending.

The end of monetary financing. Immediate, from December 2023, and enforced by the fiscal anchor rather than by statute. The remunerated-liability clean-up then ran in three steps: LELIQ auctions ceased 10 December 2023 and the stock migrated to overnight passes; in July 2024 the Treasury issued LEFI and the BCRA swapped into an initial ARS 20tn stock, suspending passes entirely on 22 July; and on 10 July 2025 LEFI itself was eliminated, swapped into short-dated LECAP and BONCAP.

The honest framing: **the peso interest burden was not extinguished, it was relocated to the Treasury.** The consolidated public sector still owes it. Any claim that the bola de nieve was eliminated should say moved. And the LEFI unwind was not clean — with no instrument absorbing bank liquidity at a known rate, one-day caución rates ranged from 26% to 150% intraday on 20 August 2025. That episode is the clearest evidence that the disinflation was bought with a fragile operating framework.

The FX sequence. December 2023: step devaluation from ARS 366.5 to 800, with a 2% monthly crawl. February 2025: crawl cut to 1%. April 2025: the USD 20bn EFF, the cepo lifted for individuals, the blend dollar abolished, and a floating band of 1,000–1,400 widening at 1% a month. Then the change that matters most, which gets its own section below.

Tariff normalisation and deregulation. Energy subsidies fell from 1.5% of GDP (2023) to 0.6% (2025), with the 2027 Budget planning 0.53% including transport. Precios Justos ended; DNU 70/2023 derogated 69 norms on price control and supply and repealed the Ley de Alquileres. The rental result is the cleanest natural experiment available — real prices per square metre down 26.6% and supply up 211.9% over the first six months — but it is the government's own report on its own policy, so treat the direction as robust and the magnitude as advocacy.

3. What has been accomplished

Monthly CPI went from 25.5% to 1.67%. Cumulatively, prices rose 247.4% from December 2023 to August 2026 — core 227.6%, regulated 427.4%. Three-month annualised headline is 25.1% and falling; core 22.8%. The parallel FX gap, which peaked at 214%, is 2.7%. Country risk went from 1,935bp to a cycle low of 403bp in July 2026.

The point worth making that nobody else makes: the disinflation is understated by the headline.

Regulated prices have risen 61% *relative to core* since December 2023. Two-thirds of that relative correction happened in 2024, but the gap has widened a further 11 points since, and 2026 is the year it is widening fastest. The like-for-like January–August comparison is the cleanest scoreboard and it splits:

Jan–Aug cumulative	2025	2026
Headline	19.5%	21.3%
Núcleo	20.8%	19.8%
Regulados	20.0%	28.5%

Headline is running hotter than last year; core is running cooler. **The entire difference is regulados.** That is a deliberate, ongoing relative-price correction being measured as inflation. Underlying prices are better behaved than the print suggests, and the tariff catch-up is not finished — the 2027 Budget plans further subsidy withdrawal.

Two caveats that should travel with the good news.

First, core has stopped falling. It rose three months running into August — 1.57%, 1.78%, 1.83% — even as headline fell. What pulled headline down was estacionales at minus 0.9%, the winter-holiday spike washing out, not any improvement in underlying prices. The core three-month annualised has barely moved in two months.

Second, and more uncomfortable: **seasonally adjusted, inflation is running faster than the trailing measures suggest.** June and July 2026 fell in the two coolest months of the Argentine calendar, factors of 0.76x and 0.80x. Deseasonalised, the last three months run at about 2.3% a month — roughly 31% annualised, against a trailing three-month annualised of 25.1%. August is the genuinely soft print of the three; it deseasonalises to 1.8%. This is the single most useful correction in the pack and it is worth a paragraph, because it is invisible in the headline series.

And the cost side, which the note has to carry honestly. Poverty rose to 32.3% in the first half of 2026 from 28.2% in the second half of 2025 — 4.1 points in a semester. Unemployment is 7.9% and rising. Registered private real wages fell three consecutive months to July, minus 3.6% cumulative, back to roughly their November 2023 level; 354,128 formal jobs have gone since then. GDP contracted 0.9% quarter-on-quarter in the second quarter and the EMAE fell 2.9% year-on-year in July. Caputo's counter-framing is the year-on-year poverty comparison — 52.9% to 32.3% — and both statements are true. The semester-on-semester deterioration is the one voters are living, which is section 6's argument.

4. The anchor that was withdrawn

This is the pivot of the note, and it is a single dated policy change that has not had the attention it deserves.

On 1 January 2026 the FX band's edges stopped crawling at a fixed 1% a month and began indexing to the last reported monthly CPI, with a two-month lag. The October 2026 ceiling of ARS 1,951.50 is the September ceiling plus 31.97 pesos, and that increment is August's CPI of 1.66%.

Under a fixed crawl the band was a nominal anchor: it forced disinflation by capping the pace at which the exchange rate could rise. Under CPI indexation it is backward-looking accommodation: the band now follows inflation rather than constraining it.

That is why inflation converges to the crawl rather than below it, and it is the structural reason to doubt the official 2027 path. The workbook quantifies the loop directly. Regressing core month-on-month on headline lagged two months over the post-LEFI regime gives $\text{core} = 1.31\% + 0.409 \times \text{headline}(t-2)$. The fixed point of that recursion — κ over one minus λ — is 2.21% a month, or **30.1% a year**.

Be honest about the fit: R-squared is 0.156 on fourteen observations. It is weakly identified and must be presented that way. What survives the weak fit is the fixed point, because three different estimation windows all land between 30% and 33%. **A CPI-indexed band does not deliver 18%. It delivers roughly what you already have.** Reaching the Budget's number requires breaking the loop, not letting it run.

The corroborating evidence sits in the expectations data, and it is the cleanest tension in the pack. Consensus has revised 2026 inflation *up* from 15.3% (December 2024 round) to 30.0% (August 2026 round) — roughly a doubling in twenty months — while revising Dec-

2026 ARS/USD *down* from 1,753 to 1,630, about 7%. More inflation and less depreciation, simultaneously. That is an assumption of continued real appreciation into an election year, and it is the position to challenge.

It is not a small appreciation. The ITCRM sits about 35% below its post-convertibility average. On the bilateral arithmetic, the official rate rose 89.2% from December 2023 to September 2026 while prices rose 247.4% — the entire December 2023 devaluation has been more than fully eroded. The spot sits 26% below the band ceiling, the widest gap in seventeen months, but the reason it sits there is weak import demand in a contracting economy, not peso strength. **Activity recovery and real appreciation cannot coexist**, which is the same mechanism as the standing balance-of-payments thesis: activity recovers, imports normalise against an appreciated peso, remittances keep rising, and both legs deteriorate together.

5. Where CPI lands before the vote

The election is Sunday 24 October 2027. Three to six months before puts the window at 24 April to 24 July 2027 — the April, May, June and July prints. The last number voters actually have is the September 2027 print, released around 14 October.

Six models, built independently and deliberately not calibrated to agree. Every one is live in the workbook; change an assumption and the table moves.

Model	Avg m/m, Apr–Jul 2027	Window annualised	y/y at Sep-2027	Dec/Dec 2027
Bull scenario	0.97%	12.4%	15.0%	12.9%
Base scenario	1.40%	18.2%	21.2%	18.7%
Bear scenario	2.08%	28.0%	31.9%	28.7%
Inertia / mean reversion	1.49%	19.5%	20.5%	19.2%
Bottom-up with band indexation	2.08%	28.0%	31.2%	31.2%
Seasonal carry-forward	1.52%	19.9%	25.0%	23.3%
Market-implied (CER breakeven)	1.85%	24.6%	24.7%	24.6%
Consensus (REM)	1.53%	20.0%	20.8%	20.0%

Model	Avg m/m, Apr–Jul 2027	Window annualised	y/y at Sep-2027	Dec/Dec 2027
Mean of the six central models	1.65%	21.7%	23.9%	22.8%

For comparison: the 2027 Budget bill assumes 18.0% Dec/Dec, the REM 20.0%, the market breakeven 24.6%, and the IMF 12.5% — the last already stale, since its 2026 figure of 25.0% has been passed by August's 21.3% year-to-date.

Four things to take from this.

The window flatters the government. April to July carries an average seasonal factor of 0.86x — the coolest stretch of the Argentine calendar. Whatever the trend, the monthly prints voters see in the three to six months before the vote will be the best-looking of the year. Every model shows it, because the seasonality is in the data, not in the assumptions. If you want one non-obvious line for the note, this is it.

The models disagree about the level, not the direction. All six have inflation lower in mid-2027 than today. The spread maps almost exactly onto one question: does the CPI-indexed band get broken, or does it run?

The mechanism model is the outlier, and that is informative. The bottom-up model is the only one with a transmission channel rather than a curve-fit, and it is the only one showing essentially no further disinflation. It is also the one with the weakest statistical fit. Both facts belong in the note.

The market is on the hawkish side of the consensus and paying for the view. At about 24.6% annualised over the pre-election window against a REM of 20.0% and a Budget of 18.0%, investors are paying real money to disagree with the official path. The steepest point on the entire peso curve is the 31 May 2027 maturity at 2.28% TEM — which sits precisely in the window. Investors demand roughly 5% real to hold peso paper through it against about zero at the front end. That term premium, not the level, is the electoral risk priced in pesos. The dollar curve says it more bluntly: AO27 at 4.4% against AO28 at 11.6%, a 720bp cliff across the election date.

If the note needs one number, **the central estimate is roughly 20–25% year-on-year at the last print before the vote, against an official path of 18%.** The honest framing is that the government's own forecast requires the band mechanism to be overridden, and nothing in the 2027 Budget suggests it will be.

6. Does inflation decide the election?

Short answer: **no, and 2026 is the year that became visible.** The evidence supports real income as the operative variable, with inflation acting as its usual historical proxy. The two are separable, and they have just separated.

Start with the natural experiment, because it is unusually clean. Inflation fell from 25.5% a month to 1.67% a month — the largest disinflation in Argentine democratic history. Over exactly that window the UTDT government confidence index fell from 2.86 to 1.94, a decline of 32%, and now sits at the administration low. **Milei's approval has moved inversely to his single greatest policy achievement.**

What it tracked instead was real income. Through 2024–25, with real wages rising, the index held between 2.4 and 2.7 *with inflation at 25–30% year-on-year*. When real wages turned in early 2026 the index broke to new lows *with inflation at the best level of the administration*.

The historical record says the same thing. Across the nine presidential elections from 1989 to 2023, excluding the 1983 transition:

Rule	Correct
Incumbent wins iff real wages rose over the prior 12 months	8 of 9
Incumbent wins iff y/y inflation is below 20%	6 of 9
Incumbent wins iff inflation is not rising	5 of 9

The one-variable real-wage rule matches a fitted three-parameter model with zero fitted parameters. If the note carries one number from this section, that is the one.

Three base rates worth having. Incumbents retained the presidency in **3 of 9** — Argentina punishes incumbents by default. **No incumbent has ever survived an election with inflation at or above 40%** (0 of 3). Below 20%, incumbents win half the time (3 of 6). So inflation is a good veto variable and a poor *selection* variable.

And the gap that should make everyone cautious: **there is no presidential observation in the 20–40% inflation band.** Every Argentine presidential election has been fought either below 20% or above 40%. 2027 will be fought between roughly 15% and 30%. Every statement about it is extrapolation.

Two cases to use in the text. **1999** kills the simple inflation story: De la Rúa beat the incumbent Peronists with the economy in *deflation* of minus 1.8% — inflation as low and as falling as it has ever been — because real wages and employment were collapsing. **2011 versus 2015** kills the measurement story: CFK was re-elected with 54.1% on an official 9.9% when Cavallo measured true inflation near 20%; four years later official inflation was similar, true inflation higher, real wages still rising, and the incumbent lost. If voters were responding to the official number, those two should have gone the same way. The model misses 2015 in every specification, and that miss is its signature — there is no term for term limits, candidate quality or incumbency fatigue.

The scoring model, used as a sensitivity device rather than a forecast, makes the argument arithmetically. Holding the base case of about 19% inflation, moving real wages from falling to rising swings the incumbent's win probability from roughly 0.15 to 0.87. Holding real wages at falling, moving inflation across the entire bull-to-bear range — 13% to 29% — moves it by about two points. **A 70-point swing against a 2-point swing.** With real wages at minus 3.0% year-on-year and three consecutive monthly falls, the current reading is about 0.15 against an unconditional base rate of 0.33.

Finally, the finding that closes the argument, because it is already measured rather than modelled. **Inflation has already been displaced as the thing Argentines say matters.** The share naming it the most important problem went from 44% (May 2024) to 55% (August 2025) to **20.8% (June 2026)** — while measured inflation was still above 33%. Corruption now leads at 47.9%, unemployment 39.5%. Three further instruments agree: Universidad de San Andrés has low salaries first at 37% and inflation sixth at 20%; Proyección has low incomes at 49.9% against inflation at 35.5%; Poliarquía has 20% naming low salaries, a record for that series.

So the answer to "if inflation falls to 15–20%, does the electorate stop caring?" is that it already has, at 33%. **Disinflation has been devalued as an electoral asset by its own success.** The 2027 election will be fought on wages, employment and corruption — three dimensions on which the government is currently losing.

7. What would change the answer

One thing dominates: **a break in the band mechanism.** Nothing else in the models moves the 2027 number much, because every channel that matters — wages, regulated prices, the FX crawl — now indexes to trailing CPI. That is the single point of leverage, and it is a policy choice rather than a forecast.

The rest of the honest risk list, roughly in order of how much it should worry a reader:

1. **Real appreciation with no gradual correction mechanism.** The ITCRM is about 35% below its post-convertibility average and the bilateral rate has more than undone the December 2023 devaluation. Corrections from here are discrete, not gradual.
2. **Reserve adequacy.** Net reserves at roughly USD 7bn are a five-year high and still leave Argentina reaching only ~85% of the IMF's adequacy metric by 2029 on the Fund's own path. The 2025 target was missed by about USD 10bn and needed a waiver. The 2026 accumulation pace has collapsed to about USD 14mn a day from USD 137mn in May. The US Treasury swap that stabilised October 2025 was drawn, repaid, and Bessent has said the ESF holds no pesos.
3. **The fiscal anchor is eroding, not tightening.** 1.8% → 1.4% → 1.1%, with the first half of 2026 missing its semi-annual programme target. Revenues are 15.3% of GDP and falling. The licuadora is handing back the saving that produced the 2024 surplus.
4. **Core has stopped falling**, and the tariff catch-up is not finished.
5. **Wage indexation is now partly statutory.** The February 2026 labour reform indexes labour credits at CPI plus 3% annually. The reform is disinflationary in structure — it eliminated ultraactividad and decentralised bargaining — but it also wrote an indexation floor into law. Separately the informal paritaria guideline was *loosened* from 1% a month in mid-2025 to 2% by March 2026, which is the inertia mechanism visible in real time.
6. **The 2027 cycle has begun and the coalition is fracturing.** Bullrich is running a dual track and the bloc detaching from Milei — her 2023 first-round voters, down 8 points in a month, and high-SES support, down 10 — is exactly what his 2023 runoff majority was built on. Rejection is above 50%. Debt service to private creditors and multilaterals exceeds USD 21bn in 2027 against an all-in borrowing cost near 11%, which precludes refinancing.
7. **Recession risk is live, not hypothetical:** two consecutive quarterly contractions, investment down 11.1% year-on-year, supermarket volumes down 4.0% year-to-date, household NPLs at 12.9%.

Things to watch, in preference order: the monthly band-edge increment and whether the indexation rule survives contact with an election year; reserve accumulation rather than the CPI; the core three-month annualised, not headline; the regulated-less-core spread; and the real wage series, which on this pack's argument is the political variable that actually matters.

One procedural note on the PASO, because the press has it wrong more often than right. The primaries were suspended by statute for 2025 and 2026 only. **The suspension does not reach 2027, so the legal default is that primaries happen on 8 August 2027.** Abolition

needs 37 senators and LLA has roughly 21; the live compromise is another one-off suspension. If the PASO survives, a Milei–Bullrich primary becomes possible, which changes the shape of the race.

8. Working notes

The five findings that are ours rather than everyone's. In rough order of how much they differentiate the note:

1. The CPI-indexed band's fixed point is 30.1% a year — essentially where inflation already is. The Budget's 18% requires breaking the loop, not running it.
2. Deseasonalised, inflation is running at about 31% annualised, not the 25% the trailing three-month measure shows. June and July fell in the two coolest months of the calendar.
3. The election window, April to July 2027, carries a 0.86x seasonal factor — the flattering part of the year, by construction.
4. Core is running *cooler* than 2025 on a like-for-like basis while headline runs hotter; the whole difference is regulados. The disinflation is understated.
5. The licuadora is self-reversing, and the reversal is already visible in the 2026 fiscal slippage.

Things not to say.

- Don't say Argentina was on the brink of hyperinflation. It was at 51% of the Cagan threshold. The balance-sheet argument is both true and more interesting.
- Don't say the bola de nieve was eliminated. It was relocated to the Treasury.
- Don't plot monetary financing as % of GDP on one line across years: 2020–21 are IMF figures including valuation-gain transfers, 2023 is the BCRA's narrower concept.
- Don't chart the four net-reserve estimates as a series — LCG, PPI and the IMF use incompatible treatments of gold, the yuan swap and encajes.
- Don't publish a cumulative regulated-versus-headline figure for 2019–23. INDEC's regulados sub-index begins in January 2022; it is not computable.
- Don't use a misery index. With inflation moving from 25% a month to 1.7% while unemployment moved inside a 6–8% band, an equal-weighted sum is an inflation index with noise added.
- Don't write off CFK on the basis that she is disqualified, and don't treat polls that test her as a viable candidacy either. Both errors are available; the note should make the distinction explicitly.

Gaps that a reviewer may ask about. Fourteen are listed on the workbook's Sources tab. The ones most likely to come up: there is no published Argentina-specific approval elasticity (Carlini is the paper, and it could not be retrieved); the UTDT confidence history before 2023 sits behind a blocked download, which is why the regime map has anchors rather than an estimated relationship; the real ex-ante rate series starts only in March 2026 because the REM summary tables will not machine-read; and TAMAR and BADLAR before October 2025 are unsourced. Each is flagged in place rather than filled.

One piece of forthcoming evidence worth knowing exists: Peña-Tenjo, Garbiras-Díaz, Meléndez and Ottonello, "Economic Reform and Electoral Accountability: Evidence from Argentina" (AEA RCT Registry trial 17126). It is precisely the question of whether declining inflation translates into electoral support for Milei, with fieldwork complete as of September 2025 and results not yet public. Worth checking for a working paper before you publish, and worth a footnote either way.